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SMART WAYS TO SAVE TAX

For many taxpayers, the last month of the financial year is also the time for planning their taxes. Often, this is triggered by a memo from their employer or chartered accountant on how much they need to invest under Section 80C before 31 March to avoid paying tax. And then all hell breaks loose as they try to save for the full year out of one month's income.



Finding the money for tax savings is not the only problem though. Finding the right option to save tax is perhaps more difficult. It is common to see people investing in tax saving options without adequate research. That is where tax planning comes in. Tax planning is more than just making random investments. But for you to take an informed decision on how to save taxes, you first need to know what defines income. In the following pages, we tell you what constitutes taxable income, what all is exempt from tax and the various tax saving options.

CALCULATING YOUR INCOME

Before you even get down to planning your taxes, you need to find out your total income for the year. Don't mistake income for salary, because there are other forms of income as well just as there are more deductions available other than those under Section 80C. For tax purposes, income is categorised under five heads. These are as follows:

Income from employment

Income received from an employer includes salary, fixed allowances, arrears, salary in lieu of leave, pension, gratuity, commission, perquisites (such as rent-free accommodation, free use of car) and bonus.

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